



Paper money in the UK

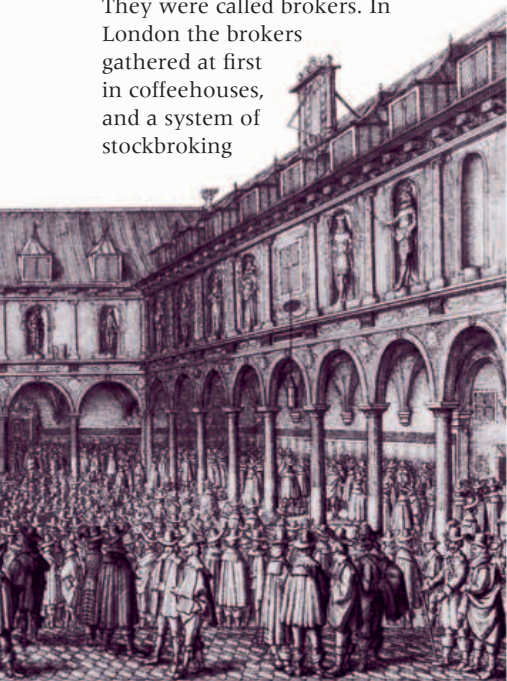
The first British bank notes, issued by the Bank of England from the mid-1690s, showed the image of Britannia. From 1727, Scottish bank notes featured the monarch's head.

New banking services

A handwritten check for £70 dates to 1725. Its function is much like a modern check. A large range of financial services offered by banks were provided by legal clerks, merchants, and goldsmiths in the 18th century.

to protect their coastal factories and trade. In effect, they made local war and peace.

Specialist traders now emerged to arrange deals between buyers and sellers of stocks and shares (in an enterprise or commodity with which they had no direct connection) in return for a cut on each transaction. They were called brokers. In London the brokers gathered at first in coffeehouses, and a system of stockbroking



gradually became established. The first coffeehouse in London opened in 1652 (coffee itself being a valuable commodity and newly fashionable refreshment). At Edward Lloyd's coffeehouse, merchants, brokers, ship owners, and sea captains met to discuss investment and insurance for new voyages. At Jonathan's coffeehouse in Change Alley, brokers negotiated with investors to buy and sell shares in joint-stock companies and trading ventures.

In 1698, stock dealers were expelled from the Royal Exchange (see left) for rowdiness and began their dealings in the streets and coffeehouses nearby, in particular in Jonathan's Coffeehouse. It was in these coffeehouses that brokers also came up with the idea of producing lists of share prices and shipping departure data.

In the same year, John Castaing began publishing a twice-weekly newsletter of share and commodity prices, called *The Course of the Exchange and other things*, which he sold at Jonathan's. It is the earliest written evidence of organized trading in stocks in London and the precursor of the famous insurance

exchange Lloyd's of London and the Lloyd's Register of Shipping (see pp.238–39).

A "bourse" is born

From the early 16th century in Antwerp, merchants had a base within which to trade—a Bourse. It was custom-built and regulated as a market for the sale and purchase of trading companies' shares and stocks. The Bourse—the continental term for a stock exchange—became the symbol of capitalism and an expanding economy, in which ships were chartered, cargo insured, and stocks and shares bought and sold. After the siege of Antwerp in 1585, trading moved to Amsterdam.

The Dutch formalized the idea of a stock exchange building to market shares: in 1609 the *Amsterdamsche Wisselbank* (Amsterdam Exchange Bank) was founded, which made Amsterdam the financial center of the world until the Industrial Revolution (see pp.292–95). As with marine insurance, double-entry bookkeeping, and other business techniques, the bank was copied from Italian models.

“Apart from myself there dwells no one in Amsterdam who is not engaged in trade.” RENE DESCARTES, 1600s



Papal paper money

The Bank of the Holy Spirit at Rome was Europe's first national bank, established in 1605 by Pope Paul V. This note (above) was issued for circulation in the Papal States under Pope Pius VI in 1786.

AFTER

As a global economy began to emerge, financial institutions became privatized and monarchs and state governments began to lose their dominion over the economy.

CAPTAINS OF INDUSTRY

Adam Smith's *Inquiry into the Nature and Causes of the Wealth of Nations* (1776) supported the massive growth in the banking industry. The **Industrial Revolution 292–95** helped spur a new system of ownership and investment, and moneyholders were able to reduce the State's intervention in economic affairs. The captains of industry had arrived.

LLOYD'S OF LONDON

Within the vast atrium of the Lloyd's of London building stands the Lutine Bell. It was rescued from HMS *Lutine*, which sank in 1799 with its crew and cargo of gold and bullion. Now mainly reserved for ceremonial purposes, it was traditionally rung once for the loss or delay of a ship and twice for its safe arrival.



THE LUTINE BELL INSIDE LLOYD'S OF LONDON